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Form **1065**

Department of the Treasury
Internal Revenue Service

U.S. Return of Partnership Income

For calendar year 2025, or tax year beginning 07/01, 2025, ending 06/30, 20 26.

Go to *www.irs.gov/Form1065* for instructions and the latest information.

OMB No. 1545-0123

2025

A Principal business activity	Name of partnership				D Employer identification number
Residential building	HANGS Construction Development LP				00-1234567
B Principal product or service	Number and street			Room or suite no.	**E** Date business started
New homes for sale	1200 Example Road				07/01/2023
C Business code number	City or town	State or province	Country	ZIP or foreign postal code	**F** Total assets (see instructions)
236110	Anytown	WA		00000	$ 29,900.00

G Check applicable boxes: **(1)** ☐ Initial return **(2)** ☐ Final return **(3)** ☐ Name change **(4)** ☐ Address change **(5)** ☐ Amended return

H Check accounting method: **(1)** ☐ Cash **(2)** ☑ Accrual **(3)** ☐ Other (specify): _____

I Number of Schedules K-1. Attach one for each person who was a partner at any time during the tax year: 2

J Check if Schedules C and M-3 are attached . . . . . ☐

K Check if partnership: **(1)** ☐ Aggregated activities for section 465 at-risk purposes **(2)** ☐ Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 23 below. See instructions for more information.

Income	1a	Gross receipts or sales 3,276,000.00	b Less returns and allowances	c Balance	1c	3,276,000.00
	2	Cost of goods sold (attach Form 1125-A)			2	2,884,800.00
	3	Gross profit. Subtract line 2 from line 1c			3	391,200.00
	4	Ordinary income (loss) from other partnerships, estates, and trusts (attach statement)			4	
	5	Net farm profit (loss) (attach Schedule F (Form 1040))			5	
	6	Net gain (loss) from Form 4797, Part II, line 17 (attach Form 4797)			6	
	7	Other income (loss) (attach statement)			7	
	8	**Total income (loss).** Combine lines 3 through 7			8	391,200.00
Deductions (see instructions for limitations)	9	Salaries and wages (other than to partners) (less employment credits)			9	
	10	Guaranteed payments to partners			10	
	11	Repairs and maintenance			11	
	12	Bad debts			12	
	13	Rent			13	
	14	Taxes and licenses			14	
	15	Interest (see instructions)			15	
	16a	Depreciation (if required, attach Form 4562)	16a			
	b	Less depreciation reported on Form 1125-A and elsewhere on return	16b		16c	
	17	Depletion **(Do not deduct oil and gas depletion.)**			17	
	18	Retirement plans, etc.			18	
	19	Employee benefit programs			19	
	20	Energy efficient commercial buildings deduction (attach Form 7205)			20	
	21	Other deductions (attach statement)			21	143,000.00
	22	**Total deductions.** Add the amounts shown in the far right column for lines 9 through 21			22	143,000.00
	23	**Ordinary business income (loss).** Subtract line 22 from line 8			23	248,200.00
Tax and Payment	24	Interest due under the look-back method—completed long-term contracts (attach Form 8697)			24	
	25	Interest due under the look-back method—income forecast method (attach Form 8866)			25	
	26	BBA AAR imputed underpayment (see instructions)			26	
	27	Other taxes (see instructions)			27	
	28	**Total balance due.** Add lines 24 through 27			28	
	29	Elective payment election amount from Form 3800			29	
	30	Payment (see instructions)			30	
	31	**Amount owed.** If the sum of line 29 and line 30 is smaller than line 28, enter amount owed			31	
	32a	**Overpayment.** If the sum of line 29 and line 30 is larger than line 28, enter overpayment			32a	
	b	Routing number	c Type: ☐ Checking ☐ Savings			
	d	Account number				

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Sign Here

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than partner or limited liability company member) is based on all information of which preparer has any knowledge.

Signature of partner or limited liability company member _____ Date _____

May the IRS discuss this return with the preparer shown below? See instructions. ☐ Yes ☐ No

Paid Preparer Use Only

Enter preparer's name	Preparer's signature	Date	Check ☐ if self-employed	PTIN
Firm's name			Firm's EIN	
Firm's address			Phone no.	

Click an amount for its evidence trail. Answers are the client's unverified statements; see Where the Answers Came From.

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Schedule B Other Information

		Yes	No
1	What type of entity is filing this return? Check the applicable box:		
a	☐ Domestic general partnership		
b	☑ Domestic limited partnership		
c	☐ Domestic limited liability company		
d	☐ Domestic limited liability partnership		
e	☐ Foreign partnership		
f	☐ Other: _____		
2	At the end of the tax year:		
a	Did any foreign or domestic corporation, partnership (including any entity treated as a partnership), trust, or tax-exempt organization, or any foreign government own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership? For rules of constructive ownership, see instructions. If "Yes," attach Schedule B-1, Information on Partners Owning 50% or More of the Partnership	✔	
b	Did any individual or estate own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership? For rules of constructive ownership, see instructions. If "Yes," attach Schedule B-1	✔	
3	At the end of the tax year, did the partnership:		
a	Own directly 20% or more, or own, directly or indirectly, 50% or more, of the total voting power of all classes of stock entitled to vote of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (iv) below		✔

(i) Name of corporation	(ii) Employer identification number (if any)	(iii) Country of incorporation	(iv) Percentage owned in voting stock

b	Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more, in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below .				✔

(i) Name of entity	(ii) Employer identification number (if any)	(iii) Type of entity	(iv) Country of organization	(v) Maximum percentage owned in profit, loss, or capital

		Yes	No
4	Does the partnership satisfy **all four** of the following conditions?		
a	The partnership's total receipts for the tax year were less than $250,000.		
b	The partnership's total assets at the end of the tax year were less than $1 million.		
c	Schedules K-1 are filed with the return and furnished to the partners on or before the due date (including extensions) for the partnership return.		
d	The partnership is not filing and is not required to file Schedule M-3		✔
	If "Yes," the partnership is not required to complete Schedules L, M-1, and M-2; item F on page 1 of Form 1065; or item L on Schedule K-1.		
5	Is this partnership a publicly traded partnership, as defined in section 469(k)(2)?		✔
6	During the tax year, did the partnership have any debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?		✔
7	Has this partnership filed, or is it required to file, Form 8918, Material Advisor Disclosure Statement, to provide information on any reportable transaction?		✔
8	At any time during calendar year 2025, did the partnership have an interest in or a signature or other authority over a financial account in a foreign country (such as a bank account, securities account, or other financial account)? See instructions for exceptions and filing requirements for FinCEN Form 114, Report of Foreign Bank and Financial Accounts (FBAR). If "Yes," enter the name of the foreign country _____		✔
9	At any time during the tax year, did the partnership receive a distribution from, or was it the grantor of, or transferor to, a foreign trust? If "Yes," the partnership may have to file Form 3520, Annual Return To Report Transactions With Foreign Trusts and Receipt of Certain Foreign Gifts. See instructions		✔
10a	Is the partnership making, or had it previously made (and not revoked), a section 754 election? If "Yes," enter the effective date of the election . . . . . _____ See instructions for details regarding a section 754 election.		✔
b	For this tax year, did the partnership make an optional basis adjustment under section 743(b)? If "Yes," enter the total aggregate net positive amount $ _____ and the total aggregate net negative amount $ (_____) of such section 743(b) adjustments for all partners made in the tax year. The partnership must also attach a statement showing the computation and allocation of each basis adjustment. See instructions		✔

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Schedule B Other Information *(continued)*

		Yes	No
c	For this tax year, did the partnership make an optional basis adjustment under section 734(b)? If "Yes," enter the total aggregate net positive amount $_____ and the total aggregate net negative amount $(_____) of such section 734(b) adjustments for all partnership property made in the tax year. The partnership must also attach a statement showing the computation and allocation of each basis adjustment. See instructions		✔
d	For this tax year, is the partnership required to adjust the basis of partnership property under section 743(b) or 734(b) because of a substantial built-in loss (as defined under section 743(d)) or substantial basis reduction (as defined under section 734(d))? If "Yes," enter the total aggregate amount of such section 743(b) adjustments and/or section 734(b) adjustments for all partners and/or partnership property made in the tax year $_____. The partnership must also attach a statement showing the computation and allocation of the basis adjustment. See instructions		✔
e	Reserved for future use		
11	Check this box if, during the current or prior tax year, the partnership distributed any property received in a like-kind exchange or contributed such property to another entity (other than disregarded entities wholly owned by the partnership throughout the tax year) ☐		
12	At any time during the tax year, did the partnership distribute to any partner a tenancy-in-common or other undivided interest in partnership property?		✔
13a	If the partnership is required to file Form 8858, Information Return of U.S. Persons With Respect to Foreign Disregarded Entities (FDEs) and Foreign Branches (FBs), enter the number of Forms 8858 attached. See instructions 0		
b	Reserved for future use		
14	Does the partnership have any foreign partners? If "Yes," enter the number of Forms 8805, Foreign Partner's Information Statement of Section 1446 Withholding Tax, filed for this partnership 0		✔
15	Enter the number of Forms 8865, Return of U.S. Persons With Respect to Certain Foreign Partnerships, attached to this return 0		
16a	Did you make any payments in 2025 that would require you to file Form(s) 1099? See instructions	✔	
b	If "Yes," did you or will you file required Form(s) 1099?	✔	
17	Enter the number of Forms 5471, Information Return of U.S. Persons With Respect to Certain Foreign Corporations, attached to this return 0		
18	Enter the number of partners that are foreign governments under section 892 0		
19	During the partnership's tax year, did the partnership make any payments, or receive any payments allocable to foreign partners, that would require it to file Forms 1042 and 1042-S under chapter 3 (sections 1441 through 1464) or chapter 4 (sections 1471 through 1474)?		✔
20	Was the partnership a specified domestic entity required to file Form 8938 for the tax year? See the Instructions for Form 8938		✔
21	Is the partnership a section 721(c) partnership, as defined in Regulations section 1.721(c)-1(b)(14)?		✔
22	During the tax year, did the partnership pay or accrue any interest or royalty for which one or more partners are not allowed a deduction under section 267A? See instructions		✔
	If "Yes," enter the total amount of the disallowed deductions $_____		
23	Did the partnership have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions		✔
24	Does the partnership satisfy one or more of the following? See instructions		✔
a	The partnership owns a pass-through entity with current, or prior year carryover, excess business interest expense.		
b	The partnership's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than $31 million and the partnership has business interest expense.		
c	The partnership is a tax shelter (see instructions) and the partnership has business interest expense. If "Yes" to any, complete and attach Form 8990.		
25	Does the partnership intend to self-certify as a qualified opportunity fund?		✔
	If "Yes," complete and attach Form 8996, Qualified Opportunity Fund, and enter the amount (if any) from Form 8996, line 15 $_____		
26	Enter the number of foreign partners subject to section 864(c)(8) as a result of transferring all or a portion of an interest in the partnership or of receiving a distribution from the partnership 0		
	Complete Schedule K-3 (Form 1065), Part XIII, for each foreign partner subject to section 864(c)(8) on a transfer or distribution.		
27	At any time during the tax year, were there any transfers between the partnership and its partners subject to the disclosure requirements of Regulations section 1.707-8?		✔

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Schedule B Other Information *(continued)*

		Yes	No
28	Since December 22, 2017, did a foreign corporation directly or indirectly acquire substantially all of the properties constituting a trade or business of your partnership, and was the ownership percentage (by vote or value) for purposes of section 7874 greater than 50% (for example, the partners held more than 50% of the stock of the foreign corporation)? If "Yes," list the ownership percentage by vote and by value. See instructions. Percentage: By vote: ____ By value: ____		✔
29	Is the partnership required to file Form 7208, Excise Tax on Repurchase of Corporate Stock (see instructions):		
a	Under the applicable foreign corporation rules?		✔
b	Under the covered surrogate foreign corporation rules?		✔
	If "Yes" to either (a) or (b), complete Form 7208. See the Instructions for Form 7208.		
30	At any time during this tax year, did the partnership (a) receive (as a reward, award, or payment for property or services); or (b) sell, exchange, or otherwise dispose of a digital asset (or financial interest in a digital asset)? See instructions		✔
31	Reserved for future use		
32	Check this box if an election out of subchapter K under section 761 is being made. See instructions ☐		
33	Is the partnership electing out of the centralized partnership audit regime under section 6221(b)? See instructions		✔
	If "Yes," the partnership must complete Schedule B-2 (Form 1065). Enter the total from Schedule B-2, Part III, line 3 ____		
	If "No," complete Designation of Partnership Representative below.		

Designation of Partnership Representative (see instructions)

Enter below the information for the partnership representative (PR) for the tax year covered by this return.

First name of PR (or entity name)	Last name of PR
HANGS General Partner Inc	

U.S. address of PR	Street	City	State	ZIP code	U.S. phone number of PR
	1200 Example Road	Anytown	WA	00000	000-555-0100

Name of designated individual (DI) if PR is an entity

First name of DI	Last name of DI
Morgan	Lee

U.S. address of DI	Street	City	State	ZIP code	U.S. phone number of DI
	1200 Example Road	Anytown	WA	00000	000-555-0100

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Schedule K	Partners' Distributive Share Items		Total amount
Income (Loss)	1 Ordinary business income (loss) (page 1, line 23)	1	248,200.00
	2 Net rental real estate income (loss) (attach Form 8825)	2	
	3a Other gross rental income (loss) 3a		
	b Expenses from other rental activities (attach statement) 3b		
	c Other net rental income (loss). Subtract line 3b from line 3a	3c	
	4 Guaranteed payments: a Services 4a b Capital 4b		
	c Total. Add lines 4a and 4b	4c	
	5 Interest income	5	
	6 Dividends and dividend equivalents: a Ordinary dividends	6a	
	b Qualified dividends 6b c Dividend equivalents 6c		
	7 Royalties	7	
	8 Net short-term capital gain (loss) (attach Schedule D (Form 1065))	8	
	9a Net long-term capital gain (loss) (attach Schedule D (Form 1065))	9a	
	b Collectibles (28%) gain (loss) 9b		
	c Unrecaptured section 1250 gain (attach statement) 9c		
	10 Net section 1231 gain (loss) (attach Form 4797)	10	
	11 Other income (loss) (see instructions) Type:	11	
Deductions	12 Section 179 deduction (attach Form 4562)	12	
	13a Cash contributions	13a	
	b Noncash contributions	13b	
	c Investment interest expense	13c	
	d Section 59(e)(2) expenditures: (1) Type: (2) Amount:	13d(2)	
	e Other deductions (see instructions) Type:	13e	
Self-Employment	14a Net earnings (loss) from self-employment	14a	0.00
	b Gross farming or fishing income	14b	
	c Gross nonfarm income	14c	
Credits	15a Low-income housing credit (section 42(j)(5))	15a	
	b Low-income housing credit (other)	15b	
	c Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)	15c	
	d Other rental real estate credits (see instructions) Type:	15d	
	e Other rental credits (see instructions) Type:	15e	
	f Other credits (see instructions) Type:	15f	
International	16a Attach Schedule K-2 (Form 1065), Partners' Distributive Share Items—International, and check this box to indicate that you are reporting items of international tax relevance ☐		
	b Check this box if you qualified for an exception to filing Schedule K-2 (Form 1065) ☐		
Alternative Minimum Tax (AMT) Items	17a Post-1986 depreciation adjustment	17a	
	b Adjusted gain or loss	17b	
	c Depletion (other than oil and gas)	17c	
	d Oil, gas, and geothermal properties—gross income	17d	
	e Oil, gas, and geothermal properties—deductions	17e	
	f Other AMT items (attach statement)	17f	
Other Information	18a Tax-exempt interest income	18a	
	b Other tax-exempt income	18b	
	c Nondeductible expenses	18c	
	19a Distributions of cash and marketable securities	19a	240,000.00
	b Distributions of other property	19b	
	20a Investment income	20a	
	b Investment expenses	20b	
	c Other items and amounts (attach statement)		See Statement 5
	21 Total foreign taxes paid or accrued	21	

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Analysis of Net Income (Loss) per Return

1	Net income (loss). Combine Schedule K, lines 1 through 11. From the result, subtract the sum of Schedule K, lines 12 through 13e, and 21	1	248,200.00

2 Analysis by partner type:	(i) Corporate	(ii) Individual (active)	(iii) Individual (passive)	(iv) Partnership	(v) Exempt organization	(vi) Nominee/Other
a General partners	248.20					
b Limited partners	247,951.80					

Schedule L Balance Sheets per Books

Assets	Beginning of tax year (a)	Beginning of tax year (b)	End of tax year (c)	End of tax year (d)
1 Cash		25,000.00		29,900.00
2a Trade notes and accounts receivable				
b Less allowance for bad debts				
3 Inventories				
4 U.S. Government obligations				
5 Tax-exempt securities				
6 Other current assets (attach statement)				
7a Loans to partners (or persons related to partners)				
b Mortgage and real estate loans				
8 Other investments (attach statement)				
9a Buildings and other depreciable assets				
b Less accumulated depreciation				
10a Depletable assets				
b Less accumulated depletion				
11 Land (net of any amortization)				
12a Intangible assets (amortizable only)				
b Less accumulated amortization				
13 Other assets (attach statement)				
14 Total assets		25,000.00		29,900.00
Liabilities and Capital				
15 Accounts payable		12,700.00		9,400.00
16 Mortgages, notes, bonds payable in less than 1 year				
17 Other current liabilities (attach statement)		12,300.00		16,000.00
18 All nonrecourse loans				
19a Loans from partners (or persons related to partners)				
b Mortgages, notes, bonds payable in 1 year or more				
20 Other liabilities (attach statement)				
21 Partners' capital accounts		0.00		4,500.00
22 Total liabilities and capital		25,000.00		29,900.00

Schedule M-1 Reconciliation of Income (Loss) per Books With Analysis of Net Income (Loss) per Return

Note: The partnership may be required to file Schedule M-3. See instructions.

1	Net income (loss) per books	244,500.00	6	Income recorded on books this year not included on Schedule K, lines 1 through 11 (itemize):	
2	Income included on Schedule K, lines 1, 2, 3c, 5, 6a, 7, 8, 9a, 10, and 11, not recorded on books this year (itemize):		a	Tax-exempt interest $	
3	Guaranteed payments (other than health insurance)		7	Deductions included on Schedule K, lines 1 through 13e, and 21, not charged against book income this year (itemize):	
4	Expenses recorded on books this year not included on Schedule K, lines 1 through 13e, and 21 (itemize):		a	Depreciation $ Reserve payments: see Statement 4	4,900.00
a	Depreciation $		8	Add lines 6 and 7	4,900.00
b	Travel and entertainment $	8,600.00	9	Income (loss) (*Analysis of Net Income (Loss) per Return*, line 1). Subtract line 8 from line 5	248,200.00
5	Add lines 1 through 4	253,100.00			

Schedule M-2 Analysis of Partners' Capital Accounts

1	Balance at beginning of year	12,299.67	6	Distributions: a Cash	240,000.00
2	Capital contributed: a Cash			b Property	
	b Property		7	Other decreases (itemize):	
3	Net income (loss) (see instructions)	248,200.00			
4	Other increases (itemize):		8	Add lines 6 and 7	240,000.00
5	Add lines 1 through 4	260,499.67	9	Balance at end of year. Subtract line 8 from line 5	20,499.67

Click an amount for its evidence trail. Answers are the client's unverified statements; see Where the Answers Came From.

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651123

☐ Final K-1 ☐ Amended K-1 OMB No. 1545-0123

Schedule K-1 (Form 1065)
Department of the Treasury
Internal Revenue Service

2025

For calendar year 2025, or tax year beginning 07 / 01 / 2025 ending 06 / 30 / 2026

Partner's Share of Income, Deductions, Credits, etc.

See separate instructions.

Part I Information About the Partnership

A Partnership's employer identification number
00-1234567

B Partnership's name, address, city, state, and ZIP code
HANGS Construction Development LP
1200 Example Road
Anytown, WA 00000

C IRS center where partnership filed return: Ogden, UT

D ☐ Check if this is a publicly traded partnership (PTP)

Part II Information About the Partner

E Partner's SSN or TIN (Do not use TIN of a disregarded entity. See instructions.)
00-3456789

F Name, address, city, state, and ZIP code for partner entered in E. See instructions.
HANGS Property Holdings LLC
1200 Example Road
Anytown, WA 00000

G ☐ General partner or LLC member-manager ☒ Limited partner or other LLC member

H1 ☒ Domestic partner ☐ Foreign partner

H2 ☐ If the partner is a disregarded entity (DE), enter the partner's:
TIN _____ Name _____

I1 What type of entity is this partner? Corporation

I2 If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here . ☐

J Partner's share of profit, loss, and capital (see instructions):

	Beginning		Ending	
Profit	99.900	%	99.900	%
Loss	99.900	%	99.900	%
Capital	99.900	%	99.900	%

Check if decrease is due to:
☐ Sale or ☐ Exchange of partnership interest. See instructions.

K1 Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	$	$
Qualified nonrecourse financing	$	$
Recourse	$	$

K2 Check this box if item K1 includes liability amounts from lower-tier partnerships ☐

K3 Check if any of the above liability is subject to guarantees or other payment obligations by the partner. See instructions . . . . . ☐

L Partner's Capital Account Analysis

Beginning capital account	$ 12,287.37
Capital contributed during the year	$ 0.00
Current year net income (loss)	$ 247,951.80
Other increase (decrease) (attach explanation)	$ 0.00
Withdrawals and distributions	$ (239,760.00)
Ending capital account	$ 20,479.17

M Did the partner contribute property with a built-in gain (loss)?
☐ **Yes** ☒ **No** If "Yes," attach statement. See instructions.

N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)
Beginning . . . . . $
Ending . . . . . $

Part III Partner's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) 247,951.80	14	Self-employment earnings (loss)
2	Net rental real estate income (loss)		
3	Other net rental income (loss)	15	Credits
4a	Guaranteed payments for services		
4b	Guaranteed payments for capital	16	Schedule K-3 is attached if checked . . . . . ☐
4c	Total guaranteed payments	17	Alternative minimum tax (AMT) items
5	Interest income		
6a	Ordinary dividends		
6b	Qualified dividends	18	Tax-exempt income and nondeductible expenses
6c	Dividend equivalents		
7	Royalties		
8	Net short-term capital gain (loss)	19	Distributions A 239,760.00
9a	Net long-term capital gain (loss)		
9b	Collectibles (28%) gain (loss)	20	Other information Z* STMT
9c	Unrecaptured section 1250 gain		
10	Net section 1231 gain (loss)		
11	Other income (loss)		
12	Section 179 deduction	21	Foreign taxes paid or accrued
13	Other deductions		

22 ☐ More than one activity for at-risk purposes*
23 ☐ More than one activity for passive activity purposes*

*See attached statement for additional information.

For IRS Use Only

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Item K1 is blank on purpose (open item K1-LIAB-01). Percentages are draft until the agreement is signed (DOC-02). Box 20 code Z: see Statement 5.

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651123

OMB No. 1545-0123

☐ Final K-1 ☐ Amended K-1

Schedule K-1 (Form 1065)

Department of the Treasury
Internal Revenue Service

2025

For calendar year 2025, or tax year beginning 07 / 01 / 2025 ending 06 / 30 / 2026

Partner's Share of Income, Deductions, Credits, etc.

See separate instructions.

Part I Information About the Partnership

A Partnership's employer identification number
00-1234567

B Partnership's name, address, city, state, and ZIP code
HANGS Construction Development LP
1200 Example Road
Anytown, WA 00000

C IRS center where partnership filed return: Ogden, UT

D ☐ Check if this is a publicly traded partnership (PTP)

Part II Information About the Partner

E Partner's SSN or TIN (Do not use TIN of a disregarded entity. See instructions.)
00-2345678

F Name, address, city, state, and ZIP code for partner entered in E. See instructions.
HANGS General Partner Inc
1200 Example Road
Anytown, WA 00000

G ☒ General partner or LLC member-manager ☐ Limited partner or other LLC member

H1 ☒ Domestic partner ☐ Foreign partner

H2 ☐ If the partner is a disregarded entity (DE), enter the partner's:
TIN _____ Name _____

I1 What type of entity is this partner? Corporation

I2 If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here . ☐

J Partner's share of profit, loss, and capital (see instructions):

	Beginning	Ending
Profit	0.100 %	0.100 %
Loss	0.100 %	0.100 %
Capital	0.100 %	0.100 %

Check if decrease is due to:
☐ Sale or ☐ Exchange of partnership interest. See instructions.

K1 Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	$	$
Qualified nonrecourse financing	$	$
Recourse	$	$

K2 Check this box if item K1 includes liability amounts from lower-tier partnerships ☐

K3 Check if any of the above liability is subject to guarantees or other payment obligations by the partner. See instructions . . . . . ☐

L Partner's Capital Account Analysis

Beginning capital account	$ 12.30
Capital contributed during the year	$ 0.00
Current year net income (loss)	$ 248.20
Other increase (decrease) (attach explanation)	$ 0.00
Withdrawals and distributions	$ (240.00)
Ending capital account	$ 20.50

M Did the partner contribute property with a built-in gain (loss)?
☐ **Yes** ☒ **No** If "Yes," attach statement. See instructions.

N Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)
Beginning $ _____
Ending $ _____

Part III Partner's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) 248.20	14	Self-employment earnings (loss)
2	Net rental real estate income (loss)		
3	Other net rental income (loss)	15	Credits
4a	Guaranteed payments for services		
4b	Guaranteed payments for capital	16	Schedule K-3 is attached if checked . . . . . ☐
4c	Total guaranteed payments	17	Alternative minimum tax (AMT) items
5	Interest income		
6a	Ordinary dividends		
6b	Qualified dividends	18	Tax-exempt income and nondeductible expenses
6c	Dividend equivalents		
7	Royalties		
8	Net short-term capital gain (loss)	19	Distributions A 240.00
9a	Net long-term capital gain (loss)		
9b	Collectibles (28%) gain (loss)	20	Other information Z* STMT
9c	Unrecaptured section 1250 gain		
10	Net section 1231 gain (loss)		
11	Other income (loss)		
12	Section 179 deduction	21	Foreign taxes paid or accrued
13	Other deductions		

22 ☐ More than one activity for at-risk purposes*
23 ☐ More than one activity for passive activity purposes*

*See attached statement for additional information.

For IRS Use Only

DRAFT

Item K1 is blank on purpose (open item K1-LIAB-01). Percentages are draft until the agreement is signed (DOC-02). Box 20 code Z: see Statement 5.

DRAFT • NOT FOR FILING • HUMAN REVIEW REQUIRED

Form **1125-A**
(Rev. November 2024)
Department of the Treasury
Internal Revenue Service

Cost of Goods Sold

Attach to Form 1120, 1120-C, 1120-F, 1120S, or 1065.
Go to *www.irs.gov/Form1125A* for the latest information.

OMB No. 1545-0123

Name	Employer identification number
HANGS Construction Development LP	00-1234567

1	Inventory at beginning of year	1	0.00
2	Purchases	2	0.00
3	Cost of labor	3	0.00
4	Additional section 263A costs (attach schedule)	4	0.00
5	Other costs (attach schedule)	5	2,884,800.00
6	**Total.** Add lines 1 through 5	6	2,884,800.00
7	Inventory at end of year	7	0.00
8	**Cost of goods sold.** Subtract line 7 from line 6. Enter here and on Form 1120, page 1, line 2, or the appropriate line of your tax return. See instructions	8	2,884,800.00

9a Check all methods used for valuing closing inventory. See instructions.

- *(i)* ☐ Cost
- *(ii)* ☐ Lower of cost or market
- *(iii)* ☐ Other (specify method used and attach explanation) _____

For certain small business taxpayers, alternative methods of accounting for inventories:

- *(iv)* ☐ Non-incidental materials and supplies method
- *(v)* ☐ AFS method
- *(vi)* ☐ Non-AFS method

b Check if there was a writedown of subnormal goods ☐

c Check if the LIFO inventory method was adopted this tax year for any goods (if checked, attach Form 970) ☐

d *(i)* If the LIFO inventory method was used for this tax year, enter amount of closing inventory figured under LIFO — **9d(i)**

(ii) If the LIFO inventory method was used for this tax year, enter amount of the closing LIFO Reserve — **9d(ii)**

e If property is produced or acquired for resale, do the rules of section 263A apply to the entity? See instructions ☐ Yes ☒ No

f Was there any change in determining quantities, cost, or valuations between opening and closing inventory? If "Yes," attach explanation ☐ Yes ☒ No

DRAFT

Section references are to the Internal Revenue Code unless otherwise noted.

What's New

Small business taxpayers. For tax years beginning after December 31, 2023, if filing Form 1125-A for a small business taxpayer that uses an alternative method of accounting for inventories, check the applicable box on line 9a(iv) through 9a(vi). See the instructions for line 9.

General Instructions

Purpose of Form

Use Form 1125-A to figure and deduct cost of goods sold for certain entities.

Who Must File

Filers of Form 1120, 1120-C, 1120-F, 1120S, or 1065 must complete and attach Form 1125-A if the applicable entity reports a deduction for cost of goods sold.

Inventories

Generally, inventories are required at the beginning and end of each tax year if the production, purchase, or sale of merchandise is an income-producing factor. See Regulations section 1.471-1(a).

If inventories are required, you generally must use an accrual method of accounting for sales and purchases of inventory items.

Exception for small business taxpayers. A small business taxpayer can account for inventory by treating the inventory as non-incidental materials and supplies (line 9a(iv)), or conforming to its treatment of inventory in an applicable financial statement (as defined in section 451(b)(3)) (line 9a(v)). If it does not have an applicable financial statement, a small business taxpayer can use the method of accounting used in its books and records prepared according to its accounting procedures (line 9a(vi)).

See the discussion on small business taxpayers in the instructions for your tax return. Also see sections 448(c) and 471(c).

For additional guidance on methods of accounting, see Pub. 538, Accounting Periods and Methods. For guidance on changing methods of accounting, see Form 3115, Application for Change in Accounting Method, and the Instructions for Form 3115.

Uniform capitalization rules. The uniform capitalization rules of section 263A generally require you to capitalize, or include in inventory, certain costs incurred in connection with the following.

- The production of real property and tangible personal property held in inventory or held for sale in the ordinary course of business.
- Real property or personal property (tangible and intangible) acquired for resale.
- The production of real property and tangible personal property for use in its trade or business or in an activity engaged in for profit.

A small business taxpayer is not required to capitalize costs under section 263A. See section 263A(i).

See the discussion on section 263A uniform capitalization rules in the instructions for your tax return before completing Form 1125-A. Also see Regulations sections 1.263A-1 through 1.263A-3. See Regulations section 1.263A-4 for rules for property produced in a farming business and Pub. 225, Farmer's Tax Guide.

Line 5 is itemized on Statement 1. The split among purchases, labor and other costs is open (FORM1125A-01); line 8 follows the reserve treatment (RES-01).

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SCHEDULE B-1 (Form 1065)
(Rev. August 2019)
Department of the Treasury
Internal Revenue Service

Information on Partners Owning 50% or More of the Partnership

► Attach to Form 1065.
► Go to *www.irs.gov/Form1065* for the latest information.

OMB No. 1545-0123

Name of partnership	Employer identification number (EIN)
HANGS Construction Development LP	00-1234567

Part I Entities Owning 50% or More of the Partnership (Form 1065, Schedule B, Question 2a (Question 3a for 2009 through 2017))

Complete columns (i) through (v) below for any foreign or domestic corporation, partnership (including any entity treated as a partnership), trust, tax-exempt organization, or any foreign government that owns, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership (see instructions).

(i) Name of Entity	(ii) Employer Identification Number (if any)	(iii) Type of Entity	(iv) Country of Organization	(v) Maximum Percentage Owned in Profit, Loss, or Capital
HANGS Property Holdings LLC	00-3456789	Corporation	United States	99.9% (draft)

Part II Individuals or Estates Owning 50% or More of the Partnership (Form 1065, Schedule B, Question 2b (Question 3b for 2009 through 2017))

Complete columns (i) through (iv) below for any individual or estate that owns, directly or indirectly, an interest of 50% or more in the profit, loss, or capital of the partnership (see instructions).

(i) Name of Individual or Estate	(ii) Identifying Number (if any)	(iii) Country of Citizenship (see instructions)	(iv) Maximum Percentage Owned in Profit, Loss, or Capital
Morgan Lee	000-00-1234	United States	100% (draft)

Percentages are draft until the agreement is signed (DOC-02). The Yes answers on questions 2a and 2b hold for any split above 50%.

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STATEMENTS ATTACHED TO THE DRAFT RETURN

HANGS Construction Development LP · EIN 00-1234567 · July 1, 2025–June 30, 2026 · 2025 Form 1065

Statement 1 · Form 1125-A, Line 5, Other Costs

Progress payments to subcontractors, including lot purchase prices (Q11)	2,852,000.00
Accrued construction invoice TCF-2764, Tallow Creek Framing (Q11, Q17)	9,400.00
Phase 4 closing legal services, Harbor Field Counsel HFC-26-0142 (Q11)	18,500.00
Warranty repair work paid against the opening reserve, six claims (Q13)	4,200.00
Completion work paid against the opening reserve (Q14)	700.00
Total	**2,884,800.00**

Not included: the year-end warranty provision and the remaining completion provision, which are book only (Statement 4). The ledger does not split land, materials and subcontract labor (Q11), so lines 2 and 3 stay at zero; open item FORM1125A-01.

Statement 2 · Form 1065, Page 1, Line 21, Other Deductions

Sales commissions, Alder and Finch Realty, 22 payments (Q12)	143,000.00
Total	**143,000.00**

Statement 3 · Schedule L, Line 17, Other Current Liabilities

Warranty liability, beginning of year	11,600.00
Warranty liability, end of year	14,900.00
Costs to complete liability, beginning of year	700.00
Costs to complete liability, end of year	1,100.00
Total, beginning of year	**12,300.00**
Total, end of year	**16,000.00**

Statement 4 · Schedule M-1

Line 4, expenses on the books not on this return (draft, open item RES-01):	
Year-end warranty provision (book expense, not deducted)	7,500.00
Remaining completion provision (book expense, not deducted)	1,100.00
Total	**8,600.00**
Line 7, deductions on this return not charged against book income (draft, open item RES-01):	
Warranty repair work paid, charged to the opening reserve, deducted this year	4,200.00
Completion work paid, charged to the opening reserve, deducted this year	700.00
Total	**4,900.00**

Statement 5 · Schedule K-1, Box 20, Code Z, Section 199A Information

One trade or business: residential building construction. Not a specified service trade or business. No publicly traded partnership or real estate investment trust items. No W-2 wages (Q23) and no qualified property on the balance sheet. Both partners are C corporations, which cannot take this deduction; the instructions still ask for the statement, and a reviewer may drop it.

HANGS Property Holdings LLC: ordinary business income	247,951.80
HANGS General Partner Inc: ordinary business income	248.20
W-2 wages (both partners)	0.00
Unadjusted basis of qualified property (both partners)	0.00
Specified service trade or business	No

WHERE THE ANSWERS CAME FROM

Client tax questionnaire dated November 3, 2026, not signed. These are the client's own statements, not verified facts. Each entry below names its question.

Street Address: 1200 Example Road	Q3
City: Anytown	Q3
State: WA	Q3
ZIP Code: 00000	Q3
A · Principal Business Activity: Residential building	Q7
B · Principal Product or Service: New homes for sale	Q7
C · Business Code Number: 236110	Q7
D · Employer Identification Number: 00-1234567	Q2
E · Date Business Started: 07/01/2023	Q5
I · Number of Schedules K-1: 2	Q19
Schedule B · 13a · Forms 8858: 0	Q27
Schedule B · 14 · Forms 8805: 0	Q27
Schedule B · 15 · Forms 8865: 0	Q27
Schedule B · 17 · Forms 5471: 0	Q27
Schedule B · 18 · Foreign Government Partners: 0	Q27
Schedule B · 26 · Foreign Partners Under Section 864(c)(8): 0	Q27
Partnership Representative: HANGS General Partner Inc	Q30
Partnership Representative · Street: 1200 Example Road	Q3, Q30
Partnership Representative · City: Anytown	Q3
Partnership Representative · State: WA	Q3
Partnership Representative · ZIP Code: 00000	Q3
Partnership Representative · Phone: 000-555-0100	Q3
Designated Individual · First Name: Morgan	Q30
Designated Individual · Last Name: Lee	Q30
Designated Individual · Street: 1200 Example Road	Q22
Designated Individual · City: Anytown	Q22
Designated Individual · State: WA	Q22
Designated Individual · ZIP Code: 00000	Q22
Designated Individual · Phone: 000-555-0100	Q22
Schedule K · 14a · Net Earnings From Self-Employment: 0.00	Q20, Q21, Q23
Schedule K · 20c · Other Items: See Statement 5	Q23, Q7
M-1 · Line 7 · Itemized: Reserve payments: see Statement 4	Q13, Q14
H · Accounting Method: Accrual	Q10
Schedule B · 1 · Type of Entity: Domestic limited partnership	Q4
Schedule B · 2a · An Entity Owns 50% or More: Yes	Q19, Q20
Schedule B · 2b · An Individual Owns 50% or More: Yes	Q20, Q21
Schedule B · 3a · Owns Stock in a Corporation: No	Q28
Schedule B · 3b · Owns an Interest in an Entity or Trust: No	Q28
Schedule B · 4 · Meets All Four Small Partnership Conditions: No	Calculated
Schedule B · 5 · Publicly Traded: No	Q28
Schedule B · 6 · Debt Canceled or Modified: No	Q18
Schedule B · 7 · Reportable Transaction: No	Q28
Schedule B · 8 · Foreign Account: No	Q27
Schedule B · 9 · Foreign Trust: No	Q27
Schedule B · 10a · Section 754 Election: No	Q28
Schedule B · 10b · Section 743(b) Adjustment: No	Q28
Schedule B · 10c · Section 734(b) Adjustment: No	Q28
Schedule B · 10d · Required Basis Adjustment: No	Q28
Schedule B · 12 · Undivided Interest Distributed: No	Q28

Schedule B · 14 · Foreign Partners: No	Q27
Schedule B · 16a · Payments Requiring Forms 1099: Yes	Q29
Schedule B · 16b · Forms 1099 Filed: Yes	Q29
Schedule B · 19 · Forms 1042 and 1042-S: No	Q27
Schedule B · 20 · Form 8938: No	Q27
Schedule B · 21 · Section 721(c) Partnership: No	Q27, Q19
Schedule B · 22 · Section 267A Interest or Royalty: No	Q18, Q28
Schedule B · 23 · Section 163(j) Election: No	Q28
Schedule B · 24 · Form 8990 Conditions: No	Q18, Q28
Schedule B · 25 · Qualified Opportunity Fund: No	Q28
Schedule B · 27 · Section 1.707-8 Transfers: No	Q28
Schedule B · 28 · Foreign Acquisition: No	Q28
Schedule B · 29a · Form 7208, Applicable Foreign Corporation: No	Q28
Schedule B · 29b · Form 7208, Covered Surrogate: No	Q28
Schedule B · 30 · Digital Assets: No	Q27
Schedule B · 33 · Electing Out of the Centralized Audit Regime: No	Q30

1065 • FOLLOW THE EVIDENCE

1a · Gross Sales

$3,276,000.00

Workbook: P&L!B8

Draft figure • supplied tax treatment • review remains open

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

1c · Net Sales

$3,276,000.00

Workbook: P&L!B8

Draft figure • supplied tax treatment • review remains open

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

2 · Draft Cost of Goods Sold

$2,884,800.00

Workbook: P&L!B19

Draft figure • supplied tax treatment • review remains open

P&L!B19 = $2,884,800.00

=B11-B18

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B18 = $3,700.00

=SUM('Member Capital Accounts'!D18:D19)

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

E09 Tax Memo!B8 = $0.00

Member Capital Accounts!D19 = $3,700.00

=-SUM('Trial Balance'!C9:C10)+SUM('E03 TB'!F9:F10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

E03 TB!C9 = $-14,900.00

Trial Balance!C10 = $-1,100.00

='E03 TB'!C10

E03 TB!C10 = $-1,100.00

E03 TB!F9 = $-11,600.00

E03 TB!F10 = $-700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

3 · Gross Profit

$391,200.00

Workbook: P&L!B20

Draft figure • supplied tax treatment • review remains open

P&L!B20 = $391,200.00

=B8-B19

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B19 = $2,884,800.00

=B11-B18

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B18 = $3,700.00

=SUM('Member Capital Accounts'!D18:D19)

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

E09 Tax Memo!B8 = $0.00

Member Capital Accounts!D19 = $3,700.00

=-SUM('Trial Balance'!C9:C10)+SUM('E03 TB'!F9:F10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

8 · Total Income

$391,200.00

Workbook: P&L!B20

Draft figure • supplied tax treatment • review remains open

P&L!B20 = $391,200.00

=B8-B19

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B19 = $2,884,800.00

=B11-B18

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B18 = $3,700.00

=SUM('Member Capital Accounts'!D18:D19)

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

E09 Tax Memo!B8 = $0.00

Member Capital Accounts!D19 = $3,700.00

=-SUM('Trial Balance'!C9:C10)+SUM('E03 TB'!F9:F10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

21 · Home Selling Costs (Draft Classification)

$143,000.00

Workbook: P&L!B12

Draft figure • supplied tax treatment • review remains open

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

22 · Total Deductions

$143,000.00

Workbook: P&L!B12

Draft figure • supplied tax treatment • review remains open

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

23 · Draft Ordinary Business Income

$248,200.00

Workbook: Member Capital Accounts!D21

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

F · Ending Total Assets

$29,900.00

Workbook: Balance Sheet!C8

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C8 = $29,900.00

='Trial Balance'!C8

Trial Balance!C8 = $29,900.00

='E03 TB'!C8

E03 TB!C8 = $29,900.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

Schedule K · Line 1 · Ordinary Business Income

$248,200.00

Workbook: Member Capital Accounts!D21

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

Schedule K · Line 19a · Cash Distributions

$240,000.00

Workbook: Member Capital Accounts!D30

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D30 = $240,000.00

=-D10

Member Capital Accounts!D10 = $-240,000.00

=SUM(B10:C10)

Member Capital Accounts!B10 = $-239,760.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A8,'E08 Payments'!$G$8:$G$11)

E08 Payments!E8 = P1

E08 Payments!E9 = None

E08 Payments!E10 = P2

E08 Payments!E11 = None

E07 Owners!A8 = P1

E08 Payments!G8 = $239,760.00

E08 Payments!G9 = $0.00

E08 Payments!G10 = $240.00

E08 Payments!G11 = $0.00

Member Capital Accounts!C10 = $-240.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A9,'E08 Payments'!$G$8:$G$11)

E07 Owners!A9 = P2

Source files (full formula chain is in the workbook and board review):

04 Owners and Payments/FY2026 distribution journal.xlsx

04 Owners and Payments/Partner details.docx

1065 • FOLLOW THE EVIDENCE

Analysis · Line 1 · Net Income

$248,200.00

Workbook: Member Capital Accounts!D21

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

L1 · Beginning Cash

$25,000.00

Workbook: Balance Sheet!B8

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B8 = $25,000.00

='E02 Prior BS'!B8

E02 Prior BS!B8 = $25,000.00

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

L1 · Ending Cash

$29,900.00

Workbook: Balance Sheet!C8

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C8 = $29,900.00

='Trial Balance'!C8

Trial Balance!C8 = $29,900.00

='E03 TB'!C8

E03 TB!C8 = $29,900.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

L14 · Beginning Assets

$25,000.00

Workbook: Balance Sheet!B8

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B8 = $25,000.00

='E02 Prior BS'!B8

E02 Prior BS!B8 = $25,000.00

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

L14 · Ending Assets

$29,900.00

Workbook: Balance Sheet!C8

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C8 = $29,900.00

='Trial Balance'!C8

Trial Balance!C8 = $29,900.00

='E03 TB'!C8

E03 TB!C8 = $29,900.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

L15 · Ending Accounts Payable

$9,400.00

Workbook: Balance Sheet!C13

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C13 = $9,400.00

=-'Trial Balance'!C11

Trial Balance!C11 = $-9,400.00

='E03 TB'!C11

E03 TB!C11 = $-9,400.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

L17 · Ending Other Current Liabilities

$16,000.00

Workbook: Balance Sheet!C14

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C14 = $16,000.00

=-SUM('Trial Balance'!C9:C10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

E03 TB!C9 = $-14,900.00

Trial Balance!C10 = $-1,100.00

='E03 TB'!C10

E03 TB!C10 = $-1,100.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

L21 · Beginning Book Capital

$0.00

Workbook: Balance Sheet!B15

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B15 = $0.00

='E02 Prior BS'!B9

E02 Prior BS!B9 = $0.00

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

L21 · Ending Book Capital

$4,500.00

Workbook: Balance Sheet!C15

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C15 = $4,500.00

='Equity'!D12

Equity!D12 = $4,500.00

=SUM(B12:C12)

Equity!B12 = $4,495.50

=SUM(B8:B10)

Equity!B8 = $0.00

='E02 Prior Capital'!D8

E02 Prior Capital!D8 = $0.00

Equity!B9 = $244,255.50

=ROUND('P&L'!B15*B6,2)

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx
03 This Year Accounting/FY2026 trial balance.xlsx
04 Owners and Payments/Partner details.docx
04 Owners and Payments/FY2026 distribution journal.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

L22 · Beginning Liabilities and Capital

$25,000.00

Workbook: Balance Sheet!B18

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B18 = $25,000.00

=SUM(B12,B15)

Balance Sheet!B12 = $25,000.00

=B8-B15

Balance Sheet!B8 = $25,000.00

='E02 Prior BS'!B8

E02 Prior BS!B8 = $25,000.00

Balance Sheet!B15 = $0.00

='E02 Prior BS'!B9

E02 Prior BS!B9 = $0.00

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

L22 · Ending Liabilities and Capital

$29,900.00

Workbook: Balance Sheet!C18

Draft figure • supplied tax treatment • review remains open

Balance Sheet!C18 = $29,900.00

=SUM(C12,C15)

Balance Sheet!C12 = $25,400.00

=SUM(C13:C14)

Balance Sheet!C13 = $9,400.00

=-'Trial Balance'!C11

Trial Balance!C11 = $-9,400.00

='E03 TB'!C11

E03 TB!C11 = $-9,400.00

Balance Sheet!C14 = $16,000.00

=-SUM('Trial Balance'!C9:C10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

E03 TB!C9 = $-14,900.00

Trial Balance!C10 = $-1,100.00

='E03 TB'!C10

E03 TB!C10 = $-1,100.00

Balance Sheet!C15 = $4,500.00

='Equity'!D12

Equity!D12 = $4,500.00

=SUM(B12:C12)

Equity!B12 = $4,495.50

=SUM(B8:B10)

Equity!B8 = $0.00

='E02 Prior Capital'!D8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

02 Last Year Records/FY2025 closing capital.xlsx

04 Owners and Payments/Partner details.docx

04 Owners and Payments/FY2026 distribution journal.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

M-1 · Line 1 · Book Income

$244,500.00

Workbook: P&L!B15

Draft figure • supplied tax treatment • review remains open

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

1065 • FOLLOW THE EVIDENCE

M-1 · Line 4 · Expenses on Books not on Return

$8,600.00

Workbook: Member Capital Accounts!D33

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D33 = $8,600.00

=D18+'E04 Ledger'!H2126+'E04 Ledger'!H2128

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

E09 Tax Memo!B8 = $0.00

E04 Ledger!H2126 = $7,500.00

E04 Ledger!H2128 = $1,100.00

Source files (full formula chain is in the workbook and board review):

05 Tax Support/FY2026 adjustment notes.docx

03 This Year Accounting/FY2026 general ledger.xlsx

1065 • FOLLOW THE EVIDENCE

M-1 · Line 5 · Book Income Plus Line 4

$253,100.00

Workbook: Member Capital Accounts!D34

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D34 = $253,100.00

=D17+D33

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D33 = $8,600.00

=D18+'E04 Ledger'!H2126+'E04 Ledger'!H2128

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

03 This Year Accounting/FY2026 general ledger.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

M-1 · Line 9 · Draft Tax Income

$248,200.00

Workbook: Member Capital Accounts!D21

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

M-2 · Line 1 · Opening Tax Capital

$12,299.67

Workbook: Member Capital Accounts!D8

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D8 = $12,299.67

=SUM(B8:C8)

Member Capital Accounts!B8 = $12,287.37

='E02 Prior Capital'!E8

E02 Prior Capital!E8 = $12,287.37

Member Capital Accounts!C8 = $12.30

='E02 Prior Capital'!E9

E02 Prior Capital!E9 = $12.30

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

M-2 · Line 3 · Draft Tax Income

$248,200.00

Workbook: Member Capital Accounts!D21

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

M-2 · Line 5 · Opening Capital Plus Income

$260,499.67

Workbook: Member Capital Accounts!D29

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D29 = $260,499.67

=D8+D21

Member Capital Accounts!D8 = $12,299.67

=SUM(B8:C8)

Member Capital Accounts!B8 = $12,287.37

='E02 Prior Capital'!E8

E02 Prior Capital!E8 = $12,287.37

Member Capital Accounts!C8 = $12.30

='E02 Prior Capital'!E9

E02 Prior Capital!E9 = $12.30

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

M-2 · Line 6a · Cash Distributions

$240,000.00

Workbook: Member Capital Accounts!D30

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D30 = $240,000.00

=-D10

Member Capital Accounts!D10 = $-240,000.00

=SUM(B10:C10)

Member Capital Accounts!B10 = $-239,760.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A8,'E08 Payments'!$G$8:$G$11)

E08 Payments!E8 = P1

E08 Payments!E9 = None

E08 Payments!E10 = P2

E08 Payments!E11 = None

E07 Owners!A8 = P1

E08 Payments!G8 = $239,760.00

E08 Payments!G9 = $0.00

E08 Payments!G10 = $240.00

E08 Payments!G11 = $0.00

Member Capital Accounts!C10 = $-240.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A9,'E08 Payments'!$G$8:$G$11)

E07 Owners!A9 = P2

Source files (full formula chain is in the workbook and board review):

04 Owners and Payments/FY2026 distribution journal.xlsx

04 Owners and Payments/Partner details.docx

1065 • FOLLOW THE EVIDENCE

M-2 · Line 8 · Total Distributions

$240,000.00

Workbook: Member Capital Accounts!D30

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D30 = $240,000.00

=-D10

Member Capital Accounts!D10 = $-240,000.00

=SUM(B10:C10)

Member Capital Accounts!B10 = $-239,760.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A8,'E08 Payments'!$G$8:$G$11)

E08 Payments!E8 = P1

E08 Payments!E9 = None

E08 Payments!E10 = P2

E08 Payments!E11 = None

E07 Owners!A8 = P1

E08 Payments!G8 = $239,760.00

E08 Payments!G9 = $0.00

E08 Payments!G10 = $240.00

E08 Payments!G11 = $0.00

Member Capital Accounts!C10 = $-240.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A9,'E08 Payments'!$G$8:$G$11)

E07 Owners!A9 = P2

Source files (full formula chain is in the workbook and board review):

04 Owners and Payments/FY2026 distribution journal.xlsx

04 Owners and Payments/Partner details.docx

1065 • FOLLOW THE EVIDENCE

M-2 · Line 9 · Ending Tax Capital

$20,499.67

Workbook: Member Capital Accounts!D12

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D12 = $20,499.67

=SUM(B12:C12)

Member Capital Accounts!B12 = $20,479.17

=SUM(B8:B10)

Member Capital Accounts!B8 = $12,287.37

='E02 Prior Capital'!E8

E02 Prior Capital!E8 = $12,287.37

Member Capital Accounts!B9 = $247,951.80

=ROUND(D21*B6,2)

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx
03 This Year Accounting/FY2026 trial balance.xlsx
05 Tax Support/FY2026 adjustment notes.docx
04 Owners and Payments/Partner details.docx
04 Owners and Payments/FY2026 distribution journal.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

M-1 · Line 7 · Deductions not Charged to Books

$4,900.00

Workbook: Member Capital Accounts!D35

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D35 = $4,900.00

='E04 Ledger'!G2109+'E04 Ledger'!G2111+'E04 Ledger'!G2113+'E04 Ledger'!G2115+'E04 Ledger'!G2117+'E04 Ledger'!G2119+'E04 Ledger'!G2121

E04 Ledger!G2109 = $700.00

E04 Ledger!G2111 = $700.00

E04 Ledger!G2113 = $700.00

E04 Ledger!G2115 = $700.00

E04 Ledger!G2117 = $700.00

E04 Ledger!G2119 = $700.00

E04 Ledger!G2121 = $700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 general ledger.xlsx

1065 • FOLLOW THE EVIDENCE

M-1 · Line 8 · Total of Lines 6 and 7

$4,900.00

Workbook: Member Capital Accounts!D36

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!D36 = $4,900.00

=D35

Member Capital Accounts!D35 = $4,900.00

='E04 Ledger'!G2109+'E04 Ledger'!G2111+'E04 Ledger'!G2113+'E04 Ledger'!G2115+'E04 Ledger'!G2117+'E04 Ledger'!G2119+'E04 Ledger'!G2121

E04 Ledger!G2109 = $700.00

E04 Ledger!G2111 = $700.00

E04 Ledger!G2113 = $700.00

E04 Ledger!G2115 = $700.00

E04 Ledger!G2117 = $700.00

E04 Ledger!G2119 = $700.00

E04 Ledger!G2121 = $700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 general ledger.xlsx

1065 • FOLLOW THE EVIDENCE

Analysis · Line 2a(I) · General Partners, Corporate

$248.20

Workbook: Member Capital Accounts!C9

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!C9 = $248.20

=D21-B9

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

Analysis · Line 2b(I) · Limited Partners, Corporate

$247,951.80

Workbook: Member Capital Accounts!B9

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!B9 = $247,951.80

=ROUND(D21*B6,2)

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS Property Holdings LLC · Box 1 · Ordinary Business Income

$247,951.80

Workbook: Member Capital Accounts!B9

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!B9 = $247,951.80

=ROUND(D21*B6,2)

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS Property Holdings LLC · Item L · Beginning Capital

$12,287.37

Workbook: Member Capital Accounts!B8

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!B8 = $12,287.37

='E02 Prior Capital'!E8

E02 Prior Capital!E8 = $12,287.37

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

K-1 · HANGS Property Holdings LLC · Box 19 Code A · Distributions

$239,760.00

Workbook: Member Capital Accounts!B41

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!B41 = $239,760.00

=-B10

Member Capital Accounts!B10 = $-239,760.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A8,'E08 Payments'!$G$8:$G$11)

E08 Payments!E8 = P1

E08 Payments!E9 = None

E08 Payments!E10 = P2

E08 Payments!E11 = None

E07 Owners!A8 = P1

E08 Payments!G8 = $239,760.00

E08 Payments!G9 = $0.00

E08 Payments!G10 = $240.00

E08 Payments!G11 = $0.00

Source files (full formula chain is in the workbook and board review):

04 Owners and Payments/FY2026 distribution journal.xlsx

04 Owners and Payments/Partner details.docx

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS Property Holdings LLC · Item L · Ending Capital

$20,479.17

Workbook: Member Capital Accounts!B12

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!B12 = $20,479.17

=SUM(B8:B10)

Member Capital Accounts!B8 = $12,287.37

='E02 Prior Capital'!E8

E02 Prior Capital!E8 = $12,287.37

Member Capital Accounts!B9 = $247,951.80

=ROUND(D21*B6,2)

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

04 Owners and Payments/FY2026 distribution journal.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS General Partner Inc · Box 1 · Ordinary Business Income

$248.20

Workbook: Member Capital Accounts!C9

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!C9 = $248.20

=D21-B9

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Trial Balance!C16 = $143,000.00

='E03 TB'!C16

E03 TB!C16 = $143,000.00

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

K-1 · HANGS General Partner Inc · Item L · Beginning Capital

$12.30

Workbook: Member Capital Accounts!C8

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!C8 = $12.30

='E02 Prior Capital'!E9

E02 Prior Capital!E9 = $12.30

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS General Partner Inc · Box 19 Code A · Distributions

$240.00

Workbook: Member Capital Accounts!C41

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!C41 = $240.00

=-C10

Member Capital Accounts!C10 = $-240.00

=-SUMIF('E08 Payments'!$E$8:$E$11,'E07 Owners'!A9,'E08 Payments'!$G$8:$G$11)

E08 Payments!E8 = P1

E08 Payments!E9 = None

E08 Payments!E10 = P2

E08 Payments!E11 = None

E07 Owners!A9 = P2

E08 Payments!G8 = $239,760.00

E08 Payments!G9 = $0.00

E08 Payments!G10 = $240.00

E08 Payments!G11 = $0.00

Source files (full formula chain is in the workbook and board review):

04 Owners and Payments/FY2026 distribution journal.xlsx

04 Owners and Payments/Partner details.docx

1065 • FOLLOW THE EVIDENCE

K-1 · HANGS General Partner Inc · Item L · Ending Capital

$20.50

Workbook: Member Capital Accounts!C12

Draft figure • supplied tax treatment • review remains open

Member Capital Accounts!C12 = $20.50

=SUM(C8:C10)

Member Capital Accounts!C8 = $12.30

='E02 Prior Capital'!E9

E02 Prior Capital!E9 = $12.30

Member Capital Accounts!C9 = $248.20

=D21-B9

Member Capital Accounts!D21 = $248,200.00

=SUM(D17:D19)

Member Capital Accounts!D17 = $244,500.00

='P&L'!B15

P&L!B15 = $244,500.00

=B8-SUM(B11:B12)

P&L!B8 = $3,276,000.00

=-'Trial Balance'!C14

Trial Balance!C14 = $-3,276,000.00

='E03 TB'!C14

E03 TB!C14 = $-3,276,000.00

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B12 = $143,000.00

='Trial Balance'!C16

Source files (full formula chain is in the workbook and board review):

02 Last Year Records/FY2025 closing capital.xlsx

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

04 Owners and Payments/Partner details.docx

04 Owners and Payments/FY2026 distribution journal.xlsx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

Form 1125-A · Lines 5, 6 and 8 · Cost of Goods Sold

$2,884,800.00

Workbook: P&L!B19

Draft figure • supplied tax treatment • review remains open

P&L!B19 = $2,884,800.00

=B11-B18

P&L!B11 = $2,888,500.00

='Trial Balance'!C15

Trial Balance!C15 = $2,888,500.00

='E03 TB'!C15

E03 TB!C15 = $2,888,500.00

P&L!B18 = $3,700.00

=SUM('Member Capital Accounts'!D18:D19)

Member Capital Accounts!D18 = $0.00

='Legal Costs'!B9

Legal Costs!B9 = $0.00

='E09 Tax Memo'!B8

E09 Tax Memo!B8 = $0.00

Member Capital Accounts!D19 = $3,700.00

=-SUM('Trial Balance'!C9:C10)+SUM('E03 TB'!F9:F10)

Trial Balance!C9 = $-14,900.00

='E03 TB'!C9

E03 TB!C9 = $-14,900.00

Trial Balance!C10 = $-1,100.00

='E03 TB'!C10

E03 TB!C10 = $-1,100.00

E03 TB!F9 = $-11,600.00

E03 TB!F10 = $-700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

05 Tax Support/FY2026 adjustment notes.docx

Use the workbook tabs to inspect formulas. Original documents are PDF attachments.

1065 • FOLLOW THE EVIDENCE

L15 · Beginning Accounts Payable

$12,700.00

Workbook: Balance Sheet!B13

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B13 = $12,700.00

=-'E03 TB'!F11

E03 TB!F11 = $-12,700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

L17 · Beginning Other Current Liabilities

$12,300.00

Workbook: Balance Sheet!B14

Draft figure • supplied tax treatment • review remains open

Balance Sheet!B14 = $12,300.00

=-SUM('E03 TB'!F9:F10)

E03 TB!F9 = $-11,600.00

E03 TB!F10 = $-700.00

Source files (full formula chain is in the workbook and board review):

03 This Year Accounting/FY2026 trial balance.xlsx

WHAT STILL NEEDS A PERSON

DIFF-01: The $0.33 organization cost difference carried from FY2025 is still unresolved. Reviewer decision required; no plug posted.

DOC-01: The year-end trial balance is unapproved. Every figure on the return rests on it.

DOC-02: The executed limited partnership agreement has not been supplied. The 99.9% and 0.1% on item J, Schedule B-1, Schedule K-1 box 1, item L and the Analysis of Net Income are drafts.

DOC-03: The June 30, 2026 distributions of $239,760.00 and $240.00 have no signed authorization on file.

DOC-04: Only invoice HFC-26-0142 supports the expenses. Support for the 920 progress payments, the 22 commission payments, the six warranty claims and the $700.00 completion work has not been supplied; the Form 1125-A land, materials and subcontract labor split cannot be made without it.

RETURN-01: The 2025 Form 1065 for July 1, 2025 to June 30, 2026 is an unsigned draft and must not be filed. Page 1 items, Schedule B answers, both Schedules K-1, Form 1125-A, Schedule B-1 and the statements are filled from the client questionnaire dated November 3, 2026, which is the client's own unverified statement. Item K1, the partner percentages, the reserve treatment, the $0.33 and the Form 1125-A split are drafts or blanks, as listed in these open items. The return is late unless the Form 7004 is confirmed, the partnership is not electing out of the centralized audit regime, and the draft is a paper return to Ogden unless the firm e-files.

RES-01: The tax treatment of the warranty and cost-to-complete reserves is a judgment for a person. The draft adds back $8,600.00 of new provisions and deducts the $4,900.00 paid against the opening reserves, which gives cost of goods sold of $2,884,800.00 and ordinary income of $248,200.00. Form 1125-A line 8, page 1 line 2, Schedule M-1 lines 4 and 7, Schedule K line 1 and item L all move if the reviewer decides differently.

K1-LIAB-01: Schedule K-1 item K1 is blank on both K-1s and no box 19 code D amount is shown until a person settles the reserves and the agreement. On the draft's own add-back only the trade payable would count: the general partner's recourse share falls from $12,700.00 to $9,400.00, a $3,300.00 deemed distribution (box 19 code D) that would raise Schedule K line 19a to $243,300.00. If the reserves also count there is no code D. Once item K1 is filled, the K-1 liabilities need a reconciliation to Schedule L.

EXT-01: The client says Form 7004 was filed September 9, 2026; no acknowledgment or proof of mailing exists. Until it is found, the September 15, 2026 due date governs, the return is late, and the election-out window and the K-1 furnishing date cannot be treated as extended.

STATE-01: Washington and local rules were not researched. The federal filing address is settled (Ogden); nothing else about the state is.

SIGN-01: No signature. The signature block, date and paid preparer block are blank. Morgan Lee, President of HANGS General Partner Inc, would sign once a reviewer has closed or accepted the open items.

ROUND-01: Whole dollars or cents has not been chosen; the client expressed no preference. The draft shows cents. Whole dollars would leave the general partner's item L footing $1 short of its rounded ending balance.

WHAT STILL NEEDS A PERSON, CONTINUED

ID-01: The Form 8832 and its acceptance letter, the partners' Forms 1120 showing June 30 years, the FY2025 Form 1065 as filed and the Forms 1099 are described by the client but not supplied. The required tax year, the Schedule M-3 answer, the FY2025 reserve add-back and the e-file count rest on those statements.

FORM1125A-01: All deductible construction cost sits on Form 1125-A line 5 with an itemized statement; lines 2 and 3 are zero because the ledger does not split land, materials and subcontract labor. Whether the $18,500.00 of closing legal services belongs in cost of goods sold or on page 1 line 21 is for the reviewer.

K2K3-01: Schedules K-2 and K-3 were not researched. HANGS has no foreign activity or foreign partner, but both partners are C corporations, which the domestic filing exception may not cover; a person decides whether the schedules or the line 16b box apply.

Answers on this draft are the client's unverified statements. This PDF is not a reviewed, signed or filed return.

TAX RULE CHECKS

Official sources checked during this run. These inform a reviewer; they do not change any amount or settle any judgment.

Which Form 1065 year applies to a fiscal year beginning July 1, 2025?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The year begins July 1, 2025 and ends June 30, 2026, so the printed 2025 Form 1065, 2025 Schedule K-1 and 2025 instructions apply. Those dates go at the top of Form 1065 and both Schedules K-1.

When is the return due without an extension?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The tax year ended June 30, 2026. The 3rd month after is September, so the return was due September 15, 2026, a Tuesday by calendar math, so no weekend move applies. That date has passed as of November 5, 2026. The principal office is in Anytown, Washington, so the Washington holiday rule is the one that could apply; it would only move the date later.

What does the statute itself say about a fiscal-year partnership due date?

Verified Online • 26 U.S.C. 6072, Time for filing income tax returns (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleF-chap61-subchapA-partV-sec6072.pdf

For a fiscal year closing June 30, 2026 the statutory date is September 15, 2026, the same date the 2025 instructions give.

How long is the extension if Form 7004 was filed by September 15, 2026?

Verified Online • 26 CFR 1.6081-2, Automatic extension of time to file certain returns filed by partnerships (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol15/pdf/CFR-2025-title26-vol15-sec1-6081-2.pdf

The client says Form 7004 was filed September 9, 2026, before the September 15, 2026 due date. If that is right, six months from September 15, 2026 is March 15, 2027, the extended due date, subject to the weekend check in the next rule.

Is March 15, 2027 the extended date, and does it move for a weekend?

Verified Online • 26 U.S.C. 7503, Time for performance of acts where last day falls on Saturday, Sunday, or legal holiday (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleF-chap77-sec7503.pdf

March 15, 2027 is a Monday by calendar math, so the extended date stays March 15, 2027 if the extension is valid. Unlike last year, when March 15, 2026 was a Sunday and moved to March 16, 2026, no weekend move applies this year. The return is filed from Washington, so a Washington statewide holiday is the only other mover.

What late filing penalty rate do the 2025 instructions print?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

With two partners the printed rate is $255 x 2 = $510 for each month or part of a month, up to $6,120 at 12 months. This is a rate, not an amount owed, because no filing date was supplied.

Does a valid extension into 2027 move this return to the higher penalty amount?

Verified Online • Internal Revenue Manual 20.1.2, Failure To File/Failure To Pay Penalties • retrieved 2026-11-06

https://www.irs.gov/irm/part20/irm_20-001-002r

The due date without regard to extensions, September 15, 2026, falls in 2026, so on the IRS's stated computation $255 is the amount whether or not Form 7004 was filed: $510 a month, up to $6,120 at 12 months. The months run from the extended date if Form 7004 was valid. $260 first reaches HANGS on the return for the year ended June 30, 2027.

TAX RULE CHECKS, CONTINUED

Which official source sets $255 for a return required to be filed in 2026?

Verified Online • Rev. Proc. 2024-40 (inflation adjustments for taxable years beginning in 2025 and returns required to be filed in 2026) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-drop/rp-24-40.pdf

The due date without regard to extensions is September 15, 2026, so this is the amount for this return: $255 per partner, $510 a month for two partners and $6,120 at 12 months.

What is the penalty amount for returns required to be filed in 2027?

Verified Online • Rev. Proc. 2025-32 (inflation adjustments for taxable years beginning in 2026 and returns required to be filed in 2027) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-drop/rp-25-32.pdf

It does not reach this year's return, whose due date without regard to extensions is in 2026. It first applies to the return for the year ended June 30, 2027.

Is lateness measured with regard to an extension?

Verified Online • 26 U.S.C. 6698, Failure to file partnership return (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleF-chap68-subchapB-partI-sec6698.pdf

With a valid Form 7004, months of penalty would count from March 15, 2027. Without one, they count from September 15, 2026.

Could a late filing penalty be relieved?

Verified Online • Internal Revenue Manual 20.1.2, Failure To File/Failure To Pay Penalties • retrieved 2026-11-06

https://www.irs.gov/irm/part20/irm_20-001-002r

Both partners are C corporations (Q20, Q21), so the small partnership presumption, which needs partners who are individuals or estates, is unavailable. The client says the returns for the years ended June 30, 2024 and June 30, 2025 were filed (Q6), which bears on First Time Abate but does not establish it. Reasonable cause would rest on the Form 7004 question. No filing date exists, so no penalty is stated, only the rate of $255 per partner per month.

When must the Schedules K-1 reach the partners?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

That is September 15, 2026, or March 15, 2027 if a valid Form 7004 was filed. Neither K-1 has been completed or furnished by this preparation.

Does the small-partnership exception remove Schedules L, M-1, M-2, item F and K-1 item L?

Verified Online • 2025 Form 1065, U.S. Return of Partnership Income • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/f1065--2025.pdf

Total receipts of $3,276,000.00 are not less than $250,000, so condition (a) fails. Total assets of $29,900.00 meet condition (b), but all four must hold. The answer is No, so Schedules L and M-2, item F and K-1 item L are required, plus Schedule M-1, since the Schedule M-3 checks are now closed in favor of Schedule M-1.

What counts as total receipts for question 4, Schedule M-3 and the business code?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Home sales are the only income in the supplied ledger, so total receipts equal $3,276,000.00 on these figures. No interest or rental income appears.

What does Schedule L show at each year end?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Beginning (June 30, 2025): cash $25,000.00; accounts payable $12,700.00; other current liabilities $12,300.00 (warranty $11,600.00 and cost to complete $700.00); capital $0.00. End (June 30, 2026): cash $29,900.00; accounts payable $9,400.00; other current liabilities $16,000.00 (warranty $14,900.00 and cost to complete $1,100.00); capital $4,500.00. Both sides foot. Item F is $29,900.00, and the beginning column matches last year's ending column. The books classify both reserves as current (Q36), so they go on line 17 with the attached statement rather than line 20.

TAX RULE CHECKS, CONTINUED

Does the supplied book-to-tax walk fit Schedule M-1?

Verified Online • 2025 Form 1065, U.S. Return of Partnership Income • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/f1065--2025.pdf

Book income $244,500.00 plus the supplied $3,700.00 add-back gives $248,200.00, the illustrative ordinary income. The arithmetic foots. The $3,700.00 is a net of $8,600.00 of new book provisions (a line 4 item) and $4,900.00 paid against opening provisions (a line 7 item if deductible this year); the draft shows them separately, $8,600.00 on line 4 and $4,900.00 on line 7. The treatments themselves are not reviewed here.

Do the size tests require Schedule M-3 instead of Schedule M-1?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Total assets of $29,900.00 are under $10 million and total receipts of $3,276,000.00 are under $35 million. On the adjusted total assets worksheet, line 1 $29,900.00 plus line 2 distributions $240,000.00 is $269,900.00, under $10 million. The three size tests are not met, and the fourth test is now closed too (schedule-m3-reportable-entity-partner), so Schedule M-1 is used and item J is unchecked.

Could the 99.9% partner trigger Schedule M-3 even though HANGS is small?

Verified Online • Instructions for Schedule M-3 (Form 1065) (Rev. November 2023) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-pdf/i1065sm3.pdf

HANGS Property Holdings LLC holds a draft 99.9%, above 50%, but it is a C corporation by election that has never been required to file Schedule M-3 on any Form 1120 (Q20), so it is not a reportable entity partner. The only person deemed to own through it is Morgan Lee, an individual (Q22), who does not file Schedule M-3. HANGS General Partner Inc holds 0.1% and likewise never filed Schedule M-3 (Q21). No reportable entity partner report has been received. Schedule M-3 is not required, Schedule M-1 is filed, and the return goes to Ogden in any case because the office is in Washington.

Does a 99.9% partner trigger Schedule B-1, and what goes on it?

Verified Online • Schedule B-1 (Form 1065) (Rev. August 2019), with instructions • retrieved 2026-11-06

https://www.irs.gov/pub/irs-pdf/f1065sb1.pdf

Question 2a is Yes: HANGS Property Holdings LLC, a corporation by election, owns a draft 99.9% directly, so Part I lists it with EIN 00-3456789, type Corporation, United States, 99.9%. Question 2b is Yes: under section 267(c)(1) as the instructions apply it, an interest owned by a corporation is owned proportionately by its shareholders, and Morgan Lee owns 100% of both corporate partners (Q20, Q21), so Part II lists Morgan Lee, identifying number 000-00-1234, United States, 100%. The LLC is listed as itself because it is a corporation, not a disregarded entity.

Is Form 1125-A required, and which revision?

Verified Online • Form 1125-A, Cost of Goods Sold (Rev. November 2024), with instructions • retrieved 2026-11-06

https://www.irs.gov/pub/irs-pdf/f1125a.pdf

Book construction and development costs are $2,888,500.00. The draft deductible cost of goods sold is $2,884,800.00: the book figure less the $8,600.00 of new provisions added back plus the $4,900.00 paid against opening provisions, placed on line 5 with an itemized schedule because the ledger does not split land, materials and subcontract labor (Q11). Lines 1 and 7 are $0.00 because no inventory existed at either year end (Q9). Line 8 carries to page 1 line 2.

Do the $143,000.00 home selling costs belong in cost of goods sold or in page 1 deductions?

Verified Online • 26 CFR 1.263A-1, Uniform capitalization of costs (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol4/pdf/CFR-2025-title26-vol4-sec1-263A-1.pdf

The client states the $143,000.00 is 22 payments of $6,500.00 of sales commissions to the unrelated listing broker on closings, with no construction, advertising or partner amounts in it (Q12). Selling costs are indirect costs not required to be capitalized under this paragraph, so the draft deducts them on page 1 line 21 with the required statement rather than in cost of goods sold.

TAX RULE CHECKS, CONTINUED

What is the section 448(c) gross receipts amount for a year beginning in 2025, and does HANGS meet it?

Verified Online • Rev. Proc. 2024-40 (inflation adjustments for taxable years beginning in 2025 and returns required to be filed in 2026) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-drop/rp-24-40.pdf

HANGS began business July 1, 2023 (Q5), so it existed for only two of the three tax years preceding this one: the year ended June 30, 2024 with no receipts and the year ended June 30, 2025 with $2,840,000.00 (Q38). The average over the period of existence is $1,420,000.00, computed in code, which does not exceed $31,000,000. Nothing is aggregated: the partners' only activity is holding HANGS interests and Morgan Lee has no other business (Q20, Q21, Q22). HANGS is not a tax shelter (tax-shelter-syndicate-test). HANGS meets the gross receipts test for the year beginning July 1, 2025.

How is the three-year test run when the partnership may not have existed for three years?

Verified Online • 26 U.S.C. 448, Limitation on use of cash method of accounting (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleA-chap1-subchapE-partII-subpartA-sec448.pdf

HANGS first existed in the year ended June 30, 2024, a full twelve-month year beginning July 1, 2023 (Q5, Q6), so the average is taken over that year and the year ended June 30, 2025 with no annualizing. Morgan Lee owns 100% of both partners, which makes the two corporations and HANGS a group under common control, but the corporations have no receipts of their own and Morgan Lee has no other trade or business (Q20, Q21, Q22), so aggregation adds nothing; even counting the partners' distributive shares again would leave the average far below $31,000,000.

How is Form 1125-A line 9e answered on section 263A?

Verified Online • Form 1125-A, Cost of Goods Sold (Rev. November 2024), with instructions • retrieved 2026-11-06

https://www.irs.gov/pub/irs-pdf/f1125a.pdf

HANGS produces real property for sale, but it is a small business taxpayer for this year (gross receipts test met, not a tax shelter), so section 263A(i) takes it outside section 263A. The client states HANGS has never capitalized additional section 263A costs, has never kept an inventory, and reported the June 30, 2025 year the same way (Q10), so there is no method change and no Form 3115. Line 9e is answered No. With no inventory at either year end, every cost ends in cost of goods sold in the year in any case.

What must the K-1s report for the section 199A deduction?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The ledger shows one home sales activity with no payroll (Q23) and no depreciable property, so W-2 wages and UBIA are $0.00. Each K-1 carries code Z* STMT with Statement A showing the partner's draft share of the $248,200.00 of ordinary income as qualified items, residential building construction as the trade or business, and SSTB No. Both partners are C corporations (Q20, Q21), which cannot take the section 199A deduction, but the instructions require the information on each partner's K-1 and the draft includes it.

Which principal business code goes in item C?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

All receipts are sales of homes HANGS built on lots it owns and sold complete to buyers; it does not subdivide land and does not build for others (Q7, Q8). On the 2025 list that is 236110 Residential Building Construction under Construction of Buildings, not 237210 Land Subdivision. Item A: Residential building (the code list says Residential Building Construction; shortened to fit the box). Item B: New homes for sale.

Could HANGS be a tax shelter or syndicate?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Tax income of $248,200.00 with no allocated loss, after a profitable year ended June 30, 2025 (Q38, Q39), means the 35% loss test cannot be met for this year under either the current-year allocation or the prior-year election. Interests were never offered in an offering required to be registered (Q28). The client states the partnership exists only to build and sell homes (Q28). HANGS is not a tax shelter for the year beginning July 1, 2025, so the small business exemptions are available. The year ended June 30, 2024 allocated its $480.33 loss 99.9% to the limited partner (Q39), which made that earlier year a syndicate year on its own numbers; the test is annual and that does not reach this year.

TAX RULE CHECKS, CONTINUED

How is Schedule B question 24 answered with no interest expense?

Verified Online • 2025 Form 1065, U.S. Return of Partnership Income • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/f1065--2025.pdf

HANGS owns no pass-through entity (Q28), its average annual gross receipts for the three preceding tax years are $1,420,000.00 and it has no business interest expense (Q18), and it is not a tax shelter. Each part is No, question 24 is No, and Form 8990 is not attached.

What test decides when a book provision becomes a tax deduction?

Verified Online • 26 CFR 1.461-1, General rule for taxable year of deduction (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-461-1.pdf

The $14,900.00 warranty and $1,100.00 cost-to-complete balances at June 30, 2026 are book provisions. Whether each element is met for each one at that date is not supplied. The supplied treatment adds back the net increase; it is not reviewed here.

Can an estimate be deducted before economic performance?

Verified Online • 26 U.S.C. 461, General rule for taxable year of deduction (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleA-chap1-subchapE-partII-subpartC-sec461.pdf

This governs both the new provisions of $8,600.00 booked this year and the $4,900.00 of work and claims actually paid this year. It is the framework for the next three checks and reaches no result on its own.

What decides the tax timing of the warranty reserve, which rose from $11,600.00 to $14,900.00 while $4,200.00 of claims were paid?

Verified Online • 26 CFR 1.461-4, Economic performance (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-461-4.pdf

Warranty movement: $11,600.00 opening, less $4,200.00 of claims paid, plus $7,500.00 of new provision, equals $14,900.00. The client says each home carries a one-year builder warranty, the six $700.00 claims were paid to repair subcontractors for repair work on prior-year homes, no claim was settled in cash with a buyer, and the $7,500.00 is an estimate for this year's homes (Q13). Under this paragraph the $7,500.00 estimate waits for costs to be incurred, while the $4,200.00 of repair work performed this year is when economic performance occurs for that part of the opening reserve. Post-year-end warranty work has not been summarized, so the recurring item exception cannot be tested.

What decides the tax timing of the cost-to-complete reserve, where the $700.00 opening balance was fully worked off and $1,100.00 was newly provided?

Verified Online • 26 CFR 1.461-4, Economic performance (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-461-4.pdf

Cost-to-complete movement: $700.00 opening, less $700.00 of completion work paid September 30, 2025, plus $1,100.00 of new provision, equals $1,100.00. The client says the opening amount was punch-list work on prior-year homes performed by a subcontractor, and the $1,100.00 is estimated punch-list work on homes closed in May 2026, on the sold homes themselves, not common improvements (Q14). Under this paragraph the $700.00 of work performed this year is when economic performance occurred; the $1,100.00 estimate waits for performance.

Do the $4,900.00 of payments against last year's provisions create a deduction this year, and does the net $3,700.00 add-back reflect that correctly?

Verified Online • 26 CFR 1.461-4, Economic performance (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-461-4.pdf

The client confirms the FY2025 return as filed added back the full $12,300.00 opening provision and deducted none of it (Q15), so none of it has been deducted. This year the books charged $4,900.00 of repair and completion work to the reserves and $8,600.00 of new provisions to expense. If the $4,900.00 is a cost incurred this year, the tax deduction is $4,900.00 against book expense of $8,600.00, a net add-back of $3,700.00, equal to the supplied figure. The draft shows the two movements separately on Schedule M-1 lines 4 and 7.

Could the recurring item exception change the timing of either provision?

Verified Online • 26 CFR 1.461-5, Recurring item exception (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-461-5.pdf

For a June 30, 2026 year end the outer date is March 15, 2027, or the timely return date if earlier. The client states the FY2025 return did not use the recurring item exception (Q15), so adopting it now for warranty or completion items would be a method question. Post-year-end warranty and punch-list work has not been summarized (Q13). No result is stated.

TAX RULE CHECKS, CONTINUED

Is there an official developer alternative for estimated completion costs, and which one applies this year?

Verified Online • Rev. Proc. 2023-9 (Alternative Cost Method for real estate developers) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-drop/rp-23-09.pdf

HANGS is on the accrual method and the year begins July 1, 2025, so Rev. Proc. 2023-9 rather than Rev. Proc. 92-29 is the procedure that would apply. The client states HANGS has no obligation to provide common improvements, the lots were bought finished, the $1,100.00 is punch-list work on the sold homes, and no alternative cost method was adopted on the FY2025 return (Q14, Q15). The method does not reach these facts and has not been elected.

Does paying last year's $12,700.00 accounts payable create a book-tax difference this year?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The $12,700.00 at June 30, 2025 was Tallow Creek Framing invoice TCF-2291 for work completed before that date, deducted on the FY2025 return and paid August 12, 2025 (Q17; ledger HC-JE-01049). Its payment in FY2026 is a balance sheet movement only. The closing $9,400.00 is invoice TCF-2764 for framing completion finished in June 2026, accrued and deducted this year. Neither payee is a partner or a related person (Q17, Q40), so section 267 does not defer either accrual.

Were any home sales under a long-term contract?

Verified Online • 26 U.S.C. 460, Special rules for long-term contracts (U.S. Code 2024 edition, before P.L. 119-21) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleA-chap1-subchapE-partII-subpartB-sec460.pdf

The client states that buyers sign a purchase agreement only after a home is complete and close within days, that no agreement was signed before July 1, 2025 or open at June 30, 2026, and that HANGS never contracts to build a home for a buyer (Q8). A sale of a completed home is not a contract for the building of property, and no contract straddled a year end, so no sale was under a long-term contract. The subcontracts are contracts under which others build for HANGS, which is not HANGS's own long-term contract.

If a contract is long-term, does the home construction exception apply?

Verified Online • 26 CFR 1.460-3, Long-term construction contracts (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol8/pdf/CFR-2025-title26-vol8-sec1-460-3.pdf

Not reached: there is no long-term contract on the client's description of its sales (long-term-contract-460), so no section 460(e) exception needs to be tested and the percentage of completion method does not arise.

Do the P.L. 119-21 residential construction contract changes reach a year beginning July 1, 2025?

Verified Online • Public Law 119-21 (July 4, 2025), 139 Stat. 72 • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/PLAW-119publ21/pdf/PLAW-119publ21.pdf

HANGS's year began July 1, 2025, which is not after July 4, 2025. Contracts entered into in this year are therefore outside sec. 70430, and the pre-amendment 460(e) text in the 2024 U.S. Code edition is the one that applies. The first HANGS year the change reaches is the year beginning July 1, 2026.

How does the unresolved $0.33 from FY2025 show up this year?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Opening tax capital of $12,299.67 is last year's ending figure and must be carried as is. Cash $25,000.00 less accounts payable $12,700.00 is $12,300.00, so the $0.33 is still inside the opening balance and reappears in the ending tie-out. The client confirms the FY2025 Schedule M-1 as filed showed a $480.00 reversal against the $480.33 deducted on the first return, that the difference has never been explained, and asks that no balancing entry be posted (Q15). No organization cost entry is made this year.

Should any organization cost amortization appear this year under section 709?

Verified Online • 26 CFR 1.709-1, Treatment of organization and syndication costs (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol10/pdf/CFR-2025-title26-vol10-sec1-709-1.pdf

Total organizational expenses were $480.33, under $5,000, paid in July 2023 and deducted in full on the return for the year ended June 30, 2024, the year business began; nothing was capitalized and no election to capitalize was made (Q16). Nothing remains to amortize, so the absence of a line 21 amortization item and of Form 4562 this year is right.

TAX RULE CHECKS, CONTINUED

How must K-1 item L capital be figured for 2025?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Partnership-level roll: $12,299.67 + $248,200.00 - $240,000.00 = $20,499.67, which equals the supplied ending tax capital. Item L is required because question 4 is No. Per partner, using last year's K-1 ending balances (Q25) and the draft split: HANGS Property Holdings LLC $12,287.37 + $247,951.80 - $239,760.00 = $20,479.17; HANGS General Partner Inc $12.30 + $248.20 - $240.00 = $20.50; the two sum to $20,499.67. All checked in code. No contributions and no other increase or decrease this year (Q25).

Does tax capital tie to tax-basis assets less liabilities at both dates?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Opening, the sourced test: cash $25,000.00 less accounts payable $12,700.00 is $12,300.00, against $12,299.67, a $0.33 difference. Ending, a reviewer inference because this balance becomes next year's line 1: cash $29,900.00 less accounts payable $9,400.00 is $20,500.00, against $20,499.67, the same $0.33. Both comparisons assume the warranty and cost-to-complete reserves are not tax liabilities, which is itself under review.

Is a reconciliation needed between Schedule L capital of $4,500.00 and Schedule M-2 capital of $20,499.67?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Book equity is $4,500.00 and ending tax capital is $20,499.67, a $15,999.67 gap that equals the $16,000.00 of book reserves less the $0.33. The client confirms the books are kept on the accrual method with the reserves recorded (Q10, Q36), so Schedule L is on a book basis, not the tax basis, and the reconciliation statement is not required.

Do the June 30, 2026 cash distributions create gain for a partner?

Verified Online • 26 U.S.C. 731, Extent of recognition of gain or loss on distribution (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleA-chap1-subchapK-partII-subpartB-sec731.pdf

$239,760 went to the LLC and $240 to the Inc on June 30, 2026, the last day of the year. Outside basis and each partner's liability share are not known, so no gain is computed. Tax capital of $20,499.67 is not outside basis.

Are year-end cash draws treated as distributions on June 30, 2026 even if advanced earlier?

Verified Online • 26 CFR 1.731-1, Extent of recognition of gain or loss on distribution (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol10/pdf/CFR-2025-title26-vol10-sec1-731-1.pdf

The $240,000 total was paid June 30, 2026, the last day of the year, so the ordering question does not arise on the supplied date, and the FY2026 income share would be in basis before the test under section 731.

Where are the cash distributions reported on the 2025 forms?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Schedule K line 19a $240,000. K-1 box 19 code A $239,760 for the LLC and $240 for the Inc: neither partner performed services for HANGS (Q23), so code F does not apply. Schedule M-2 line 6a $240,000. Item L withdrawals show the same partner amounts. Whether a code D deemed distribution exists depends on item K1, which the draft leaves blank; if the reserves are not section 752 liabilities the general partner's share of liabilities fell by $3,300.00 and line 19a would rise by that amount.

What does the partner do with a box 19 code A amount?

Verified Online • 2025 Partner's Instructions for Schedule K-1 (Form 1065) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065sk1--2025.pdf

Each partner compares its own outside basis with $239,760 or $240. The partnership supplies the amounts; the gain test stays with the partner.

TAX RULE CHECKS, CONTINUED

What is each partner's liability share, and does the fall in payables create a deemed distribution?

Verified Online • 26 U.S.C. 752, Treatment of certain liabilities (U.S. Code 2024 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/USCODE-2024-title26/pdf/USCODE-2024-title26-subtitleA-chap1-subchapK-partII-subpartD-sec752.pdf

Book liabilities moved from $25,000.00 to $25,400.00 in total, but accounts payable fell from $12,700.00 to $9,400.00 while reserves rose from $12,300.00 to $16,000.00. On the draft the reserves are not section 752 liabilities, which would give the general partner, HANGS General Partner Inc, the whole recourse trade payable under state law and a $3,300.00 decrease (a code D deemed distribution); if the reserves count, the general partner's share rises by $400.00 instead. The draft agreement has no guarantee or deficit restoration obligation (Q19), but it is unsigned, and the reserve judgment is open, so item K1 stays blank and both presentations are recorded in the facts file.

Do the warranty and cost-to-complete reserves count as liabilities under section 752?

Verified Online • 26 CFR 1.752-1, Treatment of partnership liabilities (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol10/pdf/CFR-2025-title26-vol10-sec1-752-1.pdf

If the reserves have not yet given a deduction, they would not be section 752 liabilities on this definition, and item K1 would carry only the accounts payable. That follows the reserve timing checks, which are not concluded here.

Where must partner percentages come from?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

99.9% and 0.1% come from the draft limited partnership agreement, which states the same percentage for profit, loss and capital and has been in use since July 1, 2023, with no change during the year (Q19). The executed agreement is still being circulated for signature (Q19; mock email of July 18, 2026), so item J, Schedule B-1 and every per-partner allocation show the percentages as drafts. The $239,760 and $240 distributions equal 99.9% and 0.1% of $240,000 but do not establish the percentages.

What must the K-1s say about each partner's type?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

HANGS Property Holdings LLC: item G limited partner, H1 domestic, H2 blank (not a DE: it elected corporate classification on Form 8832), I1 Corporation (Q19, Q20). HANGS General Partner Inc: item G general partner, H1 domestic, H2 blank, I1 Corporation (Q19, Q21). Both are corporate partners for the Analysis of Net Income columns, and box 14 is blank for each.

What is HANGS Property Holdings LLC for tax if it made no election?

Verified Online • 26 CFR 301.7701-3, Classification of certain business entities (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol20/pdf/CFR-2025-title26-vol20-sec301-7701-3.pdf

HANGS Property Holdings LLC has a single member, Morgan Lee, so without an election it would be disregarded under this paragraph. It elected on Form 8832 to be an association taxable as a corporation effective June 15, 2023 and holds the acceptance letter (Q20), so it is a corporation for every federal tax purpose here: items H2 and I1, Schedule B-1, the audit election and the required tax year.

What identity data is required, and what happens without it?

Verified Online • 2025 Schedule K-1 (Form 1065) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/f1065sk1--2025.pdf

The questionnaire supplies every identifier: partnership EIN 00-1234567 and address 1200 Example Road, Anytown, WA 00000 (Q2, Q3); HANGS Property Holdings LLC EIN 00-3456789 (Q20); HANGS General Partner Inc EIN 00-2345678 (Q21); Morgan Lee 000-00-1234 for Schedule B-1 Part II (Q22). Item E on each K-1 takes the partner's own EIN because neither is a disregarded entity. All numbers are demonstration numbers that the IRS and SSA never issue.

Can the partnership elect out of the centralized audit regime?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Two Schedules K-1, both to C corporations, which are eligible partners; no partnership, trust, DE or nominee partner (Q19, Q20, Q21). HANGS is eligible to elect out. The client chose not to elect out for this year (Q30), so question 33 is No, Schedule B-2 is not attached, and a partnership representative is designated.

TAX RULE CHECKS, CONTINUED

Who is designated as partnership representative?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The client designates HANGS General Partner Inc as partnership representative and Morgan Lee as the designated individual, both at 1200 Example Road, Anytown, WA 00000, U.S. phone 000-555-0100 (Q30). Morgan Lee is the general partner's president, has a U.S. street address, a U.S. TIN and a U.S. phone, which is the substantial presence the instructions describe (Q21, Q22).

Is a June 30 tax year permitted for this partnership?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Both partners are C corporations with tax years ending June 30 (Q20, Q21), so partners holding 100% of profits and capital share a June 30 year and June 30 is the majority tax year, which is HANGS's required year; no business purpose, Form 1128 or section 444 election is needed and none was ever filed (Q6). The LLC's Form 8832 election is what makes this work: disregarded, it would carry Morgan Lee's calendar year, the required year would be December 31, and section 444 could not reach a six-month deferral.

Is this a final return?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The client states HANGS is not winding up and intends to buy lots for Phase 5 in the year ending June 30, 2027 (Q33). Item G(2) and the K-1 Final box stay unchecked. The cash-only balance sheet is consistent with a builder that had sold every unit by May 2026 and had not yet bought the next lots (Q9).

Is HANGS a partnership for federal tax at all?

Verified Online • Rev. Rul. 2004-77, Internal Revenue Bulletin 2004-31 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-irbs/irb04-31.pdf

HANGS has two members under Washington law, HANGS Property Holdings LLC and HANGS General Partner Inc, and both are regarded C corporations (Q20, Q21); neither is disregarded as separate from the other, so the Rev. Rul. 2004-77 holding does not apply. HANGS has made no Form 8832 election and no section 761 election (Q4, Q28). It is a partnership and files Form 1065.

How is income split between the partners?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The split of $248,200.00 into $247,951.80 and $248.20 uses the draft 99.9% and 0.1%, which the draft agreement applies to profit, loss and capital alike with no special allocation (Q19). The executed agreement is still being signed, so the split stays a draft on Schedule K-1 box 1, item L and the Analysis of Net Income.

What proves the Form 7004 was filed on time, given no confirmation was supplied?

Verified Online • Instructions for Form 7004 (Rev. December 2025) • retrieved 2026-11-06

https://www.irs.gov/pub/irs-pdf/i7004.pdf

The client states Form 7004 was filed September 9, 2026 through its accounting software, has not located the acknowledgment, and has received no disallowance notice (Q32). September 9, 2026 is before the September 15, 2026 due date, so a Form 7004 filed that day would be timely. The IRS sends no approval, so only the e-file acknowledgment or proof of mailing can confirm it.

Who signs the return when every partner is an entity?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

Both partners are entities, so an individual authorized under state law to act for an entity partner must sign. Morgan Lee, President of HANGS General Partner Inc, the general partner, is authorized by its bylaws and Washington law and will sign (Q21, Q31). The return stays unsigned until a person reviews it; it is not a return until signed. The client answers Yes to the IRS discussing the return with the preparer (Q31); the box stays blank until a paid preparer is named.

TAX RULE CHECKS, CONTINUED

Must this return be filed electronically?

Verified Online • 26 CFR 301.6011-3, Partnership Returns Required on Magnetic Media (4-1-25 edition) • retrieved 2026-11-06

https://www.govinfo.gov/content/pkg/CFR-2025-title26-vol20/pdf/CFR-2025-title26-vol20-sec301-6011-3.pdf

The calendar year ending within the tax year is calendar 2025. During it HANGS was required to file seven Forms 1099-NEC for 2024 payments, due January 31, 2025, and the Form 1065 for the year ended June 30, 2025, due September 15, 2025 (Q29): eight returns, computed in code, fewer than ten. Two partners is under the 100-partner rule. Electronic filing is not required, so the draft is a paper return to Ogden and K-1 item C reads Ogden, UT; the firm may still e-file, in which case item C reads e-file.

Which state rules and IRS filing address apply?

Verified Online • 2025 Instructions for Form 1065 • retrieved 2026-11-06

https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The principal office is at 1200 Example Road, Anytown, Washington (Q3), and all lots, construction and sales are in Washington (Q35). Washington is in the Where To File group that uses Ogden for any amount of total assets, and Schedule M-3 is not filed, so the paper address is Department of the Treasury, Internal Revenue Service Center, Ogden, UT 84201-0011, and K-1 item C is Ogden, UT. Washington is generally understood to have no income tax on this income, but that was not researched, no Washington or local business tax, registration, contractor or withholding rule was researched, and the client supplied no state information.

Does the return use whole dollars or cents?

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https://www.irs.gov/pub/irs-prior/i1065--2025.pdf

The client states no preference (Q37). The fixed figures carry cents, and the draft shows cents so that the $0.33 and the per-partner split stay visible. If a person chooses whole dollars, the rounding rule in the instructions (include cents when adding, round only the total) gives HANGS General Partner Inc item L lines of 12, 248 and 240, which foot to 20, against a rounded ending balance of 21 (20.50 rounds up), computed in code; the other partner and the Schedule M-2 totals round cleanly to 12,300 and 20,500.